

LFTO pitch deck

PITCH — LFTO — VERDICT

PROPOSED — PENDING ADJUDICATION — No position today, and no starter: both benches land on flat, and the honest reason is that we do not have a view the market doesn't already have — but this is a deferral with dated reopen conditions (Q3 print ~2026-11-11, share lockup 2026-11-30), not a permanent no.

What we believe

Liftoff Mobile runs a mobile advertising marketplace — it buys and places ads inside phone apps for advertisers. Blackstone put Liftoff and Vungle together in 2021 and took the combined company public on June 3, 2026 at \$23 a share. The stock is \$19.53, which is 15% below the IPO price, 35% below its high, and 1% off an all-time low set on August 17 — four sessions after the first earnings report as a public company.

What we believe, stated plainly:

- 1. The business is decelerating, and the company's own guidance says so.** Revenue growth year-over-year steps down 37% → 35% → 22% → 19% across this year's four quarters. The "27–28% full-year growth" headline is an average of two different regimes. The rate the company is actually exiting the year at is roughly 19%.
- 2. The size of the deceleration is real but smaller than our first pass claimed.** Against the company's own recent quarterly trend (about +6.7% sequential growth), a flat third quarter is roughly \$15M light — not the \$24M our red bench first computed off bad data.
- 3. The valuation is not obviously wrong in either direction.** About 8.6x enterprise value to this year's guided adjusted profit, and roughly a 6.6% free-cash-flow yield on the equity after the June debt paydown. That is cheap for a 27% grower and fair-to-full for a 19% grower. Which one it is, is exactly what the next two quarters decide.
- 4. There is a large, dated supply event ahead.** Roughly 147.5M insider shares become sellable on about November 30 — about 6.7x the entire 21.85M share float. Blackstone holds 49.5%, General Atlantic 15% with board representation.
- 5. Therefore: the December supply is the buying opportunity, not the thing to own through.** We see no reason to hold a likely-soft print and a supply cliff back to back when the same shares should be available afterward.

What the market believes

The sell side is unanimously positive and unanimously conflicted: 13 analysts, 13 Buys, average target \$35.46 — every one of them from a bank that underwrote the deal. There is essentially no independent

coverage yet.

But the *numbers* the market carries are not bullish. Consensus for Q3 was \$214.8M — already below the company's own recent sequential trend. The company guided \$217–222M and “beat.” So the Street had already marked down the growth; the price action (down 35% from the high, an all-time low four days after the print) says the marginal buyer has done the same and then some.

The market's working view is roughly: *this is a decelerating but cash-generative asset with a busted IPO chart, a tiny float, a leveraged balance sheet, and a very large seller arriving in December. Nobody has to own it before then.*

We agree with that. That is the problem with the idea.

Why we might have edge

Three candidates, honestly rated:

- **The dilution nobody is modeling (real, but not yet operative).** The 10-Q discloses 21,576,558 management options — 12.7% of shares outstanding, about \$150M of grant-date value — with **zero expense recognized**, because vesting requires the sponsors to sell at a specified return. Every enterprise-value calculation in circulation uses 169.3M shares and adds back stock compensation. If the stock ever works, those 21.6M shares come with it. That is a real, unmodeled haircut to any bull case above roughly \$23. It is not a bear argument at \$19.53 — see below.
- **The supply is worse than casually assumed.** 6.7x the float, with a 13D holder that has board rights. This is knowable and dated, and small-float IPO supply events are routinely underweighted.
- **A method we can reuse.** Test a guide against the company's *own* same-quarter history, not against consensus. A guide that clears the Street while landing below the company's own trend is deceleration wearing a beat's clothing. That method is sound. Our first application of it was contaminated (see below), which is itself the lesson.

What we do not have: a differentiated number. Our own red bench's Q3 estimate (\$217M or below) sits *above* the \$214.8M consensus. We do not have a 2027 consensus figure to disagree with — we could not obtain one. So for the period that matters right now, we are not saying anything the market isn't. That is the single most important line in this deck.

Why it might be priced in

- **The stock is already down 35% and sitting at an all-time low.** A 20% de-rate on the print, then a fresh low on no news, is a market that has already absorbed the deceleration.
- **Consensus was already below trend before the guide.** Our mechanism is in the numbers.
- **The lockup is on every calendar.** A 180-day expiry from a June 3 prospectus is arithmetic, not insight.

- **The valuation already reflects a lower growth rate.** 8.6x is not a growth-company multiple. The market re-rated the asset; that is what a correctly functioning market does.
- **The one genuinely differentiated bear finding inverts at today's price.** The management options require the sponsors to sell at a *specified return*. At \$19.53 — below the \$23 IPO — a December sale does not achieve that. Nothing vests. There is no dilution in the base case, and management is actively *disincentivized* from supporting a cheap secondary. That cuts against our own supply-cliff argument.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Q3 is the seasonally strongest quarter; a flat guide is ~\$24M / 9.7% below normal” (red bench, its headline kill)	Pulled the full quarterly revenue series red cited	Our own bench was wrong. The 2024 leg is a data-scraper artifact: Q1’24 and Q2’24 are identical to the cent across revenue (\$120.79M), operating income (\$16.58M) and net income (–\$3.66M). That is a duplicated row. Red’s “+12.2% Q2→Q3 2024” was actually Q1→Q3 across a quarter that doesn’t exist. Q3 seasonality rests on one observation (2025, +10.8%).	NO — bench error. Corrected gap: ~\$14.7M / 6.7% vs trailing trend, ~60% smaller than claimed
“GAAP already broke — operating income fell \$8.5M on \$13.9M more revenue” (red bench)	Read the same 10-Q red cited	Our own bench was wrong again. The filing names the causes: a \$9.7M executive-award catch-up recognized when the IPO made it payable, plus a \$10.1M one-time charge for extending option terms — \$19.8M of disclosed IPO mechanics. Excluding them, Q2 operating income was \$97.2M vs \$85.9M, an ~81% incremental margin.	NO — bench error. Red killed on a base effect the IPO itself created
“12.7% option dilution is an overhang”	Pulled the exact 10-Q vesting language rather than the paraphrase	Facts confirmed; direction inverted. Vesting requires a sponsor sale “that achieves a specified return” — a performance <i>and</i> market condition. Below the IPO price, it fails. Bull-case-only dilution.	Facts YES; as a bear argument, NO
Guided full-year exit growth rate	Recomputed independently from the guide: \$875M – \$644.6M = \$230.4M Q4 vs \$194.16M Q4’25	+18.65%. Ladder 37.1 → 35.4 → 22.3 → 18.7%.	YES — and this, not the seasonality, is the strongest thing we have. Our bench ranked it second
“Free cash flow yield ~7.6%” (original brief)	Rebuilt from cash-flow statements and the June debt paydown	Original brief 7.6% — wrong. Red’s 5.6% — also wrong (static, ignores the \$409.2M prepayment removing ~\$34M/yr of interest). Forward is ~\$218M, ~ 6.6% .	All three of our own numbers were wrong before this one. Use 6.6%
Enterprise value / share count	10-Q cover vs the price feed’s implied market cap	Cover says 169,330,527 shares (7/28). The feed implies 177.1M. A 4.6% discrepancy we did not resolve. At 169.3M the multiple is 8.6x; at 177.1M it is 8.9x.	NO — unresolved

Claim	How checked	Found	Confirmed?
Balance sheet	10-Q	Term loan \$1,436.563M (after the 6/29 \$409.2M prepayment), SOFR+400 with a floor, due 2032; cash \$305.398M; net debt \$1,131M. Revolver undrawn, due 2030. No refinancing risk.	YES
Lockup date	Counted 180 days from the June 3 prospectus	2026-11-30. Red wrote “~12/01”; the count lands on 11/30. Neither bench read the lockup section of the prospectus body for early-release triggers .	Date YES (±1 day); early-release terms UNCHECKED
World Cup helped Q2	Company attribution on the call	Confirmed as a stated Q2 driver (tournament ran June 11 – July 19, 2026, so ~19 days fall in Q3’26 that Q3’25 lacked). But the company never sized it.	Fact yes, magnitude no — cannot carry decisive weight
“At most ~\$11M of the gap is explained by pull-forward, so ≥\$13M/quarter is unexplained” (blue bench)	Checked the arithmetic	The bound itself is good: the full-year guide implies Q4 of \$230.4M, which caps any Q2-borrowed-from-Q3 amount at ~\$10.9M. But \$14.7M gap – \$10.9M = ~\$4M, not \$13M. Getting to \$13M requires assuming a World Cup contribution of roughly \$9M that nobody quantified. Our own bench skipped that step silently.	NO — bench arithmetic gap. Honest range: \$4M–\$13M/quarter unexplained, depending on an unquantified assumption
Customer concentration	10-Q	One customer ≈10% of revenue (both Q2’26 and Q2’25); one customer 17% of receivables, down from 26%. Stable and improving. Never mentioned in the original brief.	YES — disclosed, live, not alarming
Pre-IPO debt-funded dividend to sponsors?	Checked (a check our red bench skipped entirely)	None found. Disclosed distributions were \$14.6M (2025) and \$10.3M (2024) to <i>employee</i> equity holders; the \$1.85B of debt dates to the 2021 combination. But this was read from a prospectus summary, not the filed prospectus body.	Provisionally no — not verified at primary level
Is the 2024–26 revenue series comparable?	Checked the accounting basis for the 2021 Liftoff/Vungle combination	Common-control combination, so one continuous basis — the series is <i>not</i> distorted by acquisition accounting. This also explains the unusually small depreciation/amortization line.	YES
Live price before valuation	Attempted a live broker quote	Denied — permission. All prices in this deck are the August 17 close.	NO — must be refreshed before any order
Data pack integrity	Pack’s XBRL block	Arrived empty ; both benches had to rebuild revenue, stock comp, cash flow and share count through a proxy fetch. The pack builder’s SEC data path is broken and returned silence rather than an error.	NO — infrastructure defect, filed separately

Summary of our own error rate on this name: our red bench’s two “fatal” findings both failed on primary sources, its third inverted, and three successive free-cash-flow

numbers were wrong. What survived is one clean, audited fact: the growth ladder steps to ~19%, and the Street already knows.

PROPOSED ENTRY BANDS

Today: no entry. Zero position. No resting orders. All levels below are computed off the August 17 close of \$19.53 and **must be re-derived against a live quote before anything is placed.**

Reopen conditions (any one reopens the file; none is an automatic buy):

Trigger	Date	What it would mean
Q3 revenue prints $\geq$ \$228M	~2026-11-11 (unconfirmed)	The flat guide was calendar/conservatism, not demand. Re-court immediately at whatever the price is
Core advertising daily-active-revenue $\geq$ +8% sequential for July/August	Any time it's disclosed	Same conclusion, earlier
A secondary offering filed before 11/30	Watch EDGAR daily	Sponsors selling below the IPO price with their own options unvested is the most informative single event available. Read it, don't reflex-buy it
Full-year guide cut in November	~2026-11-11	Deceleration confirmed as demand. Close the file — this is a stop condition, not an entry

If reopened, proposed price ladder (all from the benches' own valuation math, using 169.3M shares, \$1,131M net debt, \$514M guided adjusted profit, ~\$218M forward free cash flow):

Level	Basis	Proposed action
\$17.60	8.0x enterprise value / adjusted profit	Watch only. Do nothing — this is inside the noise of a stock making new lows
\$16.09	7.5x, and simultaneously an 8.0% forward free-cash-flow yield — two independent methods landing on the same price	First tranche: 0.75% of book , and only <i>after</i> 2026-11-30 has passed without a guide cut
\$14.57	7.0x	Second tranche: 0.75% of book. Maximum total 1.5%
Below \$13.00	~10% forward free-cash-flow yield	Do not average further. If we are here, the growth-floor thesis is wrong, not cheap
\$19.33 (52-week low)	Prior low	Explicitly not a buy level. Price discovery is still degraded — three sessions old, 12.9% float, all-underwriter coverage. Do not buy a break of a low on a stock with no independent price signal
Above \$23.00	IPO price	The 21.6M management options come into play. Haircut any target above this by ~11% for share count (upper bound — the strike price is not disclosed, so option

Level	Basis	Proposed action
		proceeds are not credited). The \$35.46 Street target becomes roughly \$31.50 on this adjustment alone
~\$30.59	133% of the IPO price	A common early-lockup-release threshold. We have not read the prospectus lockup section — if such a trigger exists, supply arrives earlier than 11/30. Must be verified before this level matters

Sizing discipline: the entire float is 21.85M shares. A 1.5% position is roughly \$50M at these prices, or about 2.5M shares — over 11% of the float. **This position cannot be sized as proposed without a liquidity study.** Practical constraint: work any ladder at $\leq 1\%$ of daily volume, which likely caps a realistic position well below 1.5%. Flag this as an open item, not a solved one.

Exits/trims: none proposed — there is nothing to trim. If entered, the pre-committed exit is the guide-cut trigger above, not a price stop.

Catalyst dates: 2026-11-11 (Q3 report, **unconfirmed** — derived from a data feed, no company announcement names it); 2026-11-30 (lockup, computed from the prospectus date, **not company-confirmed**); any secondary filing before then.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 19.33 (deck-provisional: 52-week low breached — explicitly NOT a buy; degraded price discovery on a 12.9% float with all-underw)
- filing watch: S-1,S-1/A,424B4,424B5,S-3 until 2027-02-14 (deck-provisional: A secondary filed before the 2026-11-30 lockup would be sponsors selling below the IPO price with thei)
- dated pack LFTO|2026-11-11: LFTO: Q3 2026 results — reopen threshold is revenue $\geq$ \$228M; stop condition is any FY guide cut (date confirmed=False)
- dated pack LFTO|2026-11-30: LFTO: IPO lockup expiry, 180 days from the 2026-06-03 prospectus — 147.5M restricted shares vs a 21.85M float (6.7x) (date confirmed=False)
- dated pack LFTO|2026-09-01: LFTO: Day 90 post-IPO — earliest plausible date for a price-based early lockup release IF one exists; prospectus lockup section unread (date

What remains unverified

- **The Q3 report date.** Feed-derived only. No company announcement confirms 2026-11-11.
- **The lockup terms.** The 180-day count is arithmetic; the actual language — early-release price triggers, staged releases, underwriter waiver provisions — is unread. A staged release instead of a single cliff would materially change the December setup.

- **The share count.** 169.33M (filing cover) vs 177.1M (implied by the price feed). Unresolved, and it moves the multiple from 8.6x to 8.9x.
- **The live price.** Broker quote denied on permission. Everything here is an August 17 close.
- **The bridge from \$514M of guided adjusted profit to a GAAP net loss.** Adjusted profit is 59% of revenue while the company reported a GAAP net loss of \$4.2M in the quarter. Interest (~\$36M/quarter), stock compensation and one-time IPO charges account for much of it, and the small depreciation line is consistent with the 2021 combination's carryover accounting — but **neither bench built the full reconciliation.** A 59% adjusted margin at an advertising marketplace deserves one.
- **Two stock-compensation series that don't tie.** The income statement shows \$34.834M for the first half; the cash-flow tag shows \$26.634M. Blue attributes the difference to \$5.1M capitalized into internal software plus \$1.8M of cash distributions. That explains \$6.9M of an \$8.2M gap. Close, not closed.
- **The World Cup contribution.** Named by management as a Q2 driver, never sized. Our own \$13M “unexplained deceleration” figure depends on an implicit ~\$9M assumption for it that nobody wrote down.
- **The management option strike price.** Not found in what was read. Without it we cannot compute a proper treasury-method diluted count, so the ~11% bull-case haircut is an upper bound.
- **2027 consensus.** Never obtained. We cannot say whether we disagree with the market about next year — which is the only period where a differentiated view would be worth anything.
- **Pre-IPO sponsor distributions.** Read from a prospectus summary, not the filed document.
- **The core operating metric.** The company's daily-active-revenue figure is company-defined and unaudited. There is no contracted backlog to check it against — this is spot-market ad buying, so no such disclosure exists.

Primary sources: [Form 10-Q filed 2026-08-13, accession 0001628280-26-056398](#) · [SEC XBRL revenue series, CIK 0001850351](#) · [424B4 prospectus, accession 0001193125-26-257410](#) · [General Atlantic Schedule 13D](#). Quarterly revenue series sourced secondarily and **found defective** — see the table above.

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